

SK Hynix (000660 KP)

Buy: Excessive divergence – sentiment has overshot the fundamentals

- ◆ 2Q results below expectations due to lower blended ASP from higher HBM and mobile DRAM contribution
- ◆ 3Qe earnings to get boost from higher blended ASP from HBM price hike and SO-CAMM2 premium
- ◆ Preferred pick; Buy, lower TP to KRW3.7m (from KRW4.0m) on earnings estimate cuts

2Q results below expectations: SK Hynix reported 2Q operating profit of KRW61trn (+61% q-o-q), 8%/7% below HSBCe and Bloomberg consensus. This includes a KRW6-7trn bonus provision. Revenue came in at KRW79trn (+51% q-o-q, +257% y-o-y). We attribute the miss primarily to lower DRAM blended ASP of +29% q-o-q (vs. HSBCe +40%), driven by a higher mix of HBM and mobile DRAM, alongside slightly slower DRAM shipment growth. Despite this, earnings rose strongly on (1) accelerating server DRAM demand for agentic AI, (2) front-loaded SO-CAMM2 procurement ahead of a new platform launch, and (3) emerging context memory/storage demand for KV cache. We also assume NAND margin improved to 65% from 53% in 1Q26.

3Q outlook: higher blended ASP to support earnings growth: We forecast 3Q operating profit of KRW79trn (+30% q-o-q, +591% y-o-y) on sales of KRW101trn (+27% q-o-q, +312% y-o-y), underpinned by (1) continued DRAM and NAND price increases of 20% and 13% q-o-q, respectively, and (2) a stronger DRAM shipment uplift of 11% q-o-q. Given the low base and more pronounced pricing in HBM and mobile DRAM, we expect blended ASP growth to outpace the broader market. Key potential catalysts include: HBM price hikes and further ASP upside from HBM4 adoption; stronger SO-CAMM2 demand linked to ARM-based CPUs; increased 3–5 year LTAs improving earnings visibility; and improved shareholder returns in line with company guidance.

Agentic AI-driven supercycle; HBM pricing upside ahead: We see the current memory upcycle as comparable to the 1990–95 PC-led supercycle. Agentic AI is likely to lift office productivity and reshape workflows, while improving AI service margins continue to support robust cloud capex. As CSPs compete for growth, capacity expansion is unlikely to slow materially. The upcoming HBM4 transition should accelerate HBM price increases versus commodity DRAM and rebuild premiums over the next year, supporting sustained earnings momentum.

Preferred memory pick; Buy, TP KRW3.7m (from KRW4.0m): Factoring in slower 2Q results and lower than previously expected blended ASP, we cut 2026/27/28e OP by 7%/6%/5%, and lower our TP to KRW3.7m, as we apply our unchanged target PB multiple of 3.4x (the historical high during 2009-11 with a 20% premium) to our updated 2027/28e BVPS. Even at our TP, the implied PE would only be 8x 2027/28e average EPS. Our TP implies an upside of 139% and we maintain Buy.

Disclosures & Disclaimer

This report must be read with the disclosures and the analyst certifications in the Disclosure appendix, and with the Disclaimer, which forms part of it.

Equities Semiconductors & Equipment

Korea


MAINTAIN BUY
TARGET PRICE (KRW)
3,700,000
PREVIOUS TARGET (KRW)
4,000,000
SHARE PRICE (KRW)
1,550,000
UPSIDE/DOWNSIDE
+138.7%
(as of 28 Jul 2026)

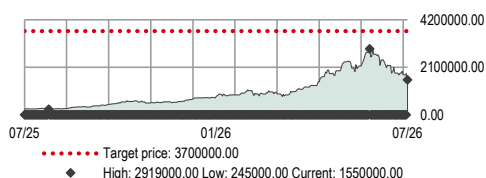
MARKET DATA

Market cap (KRWb)	1,104,689	Free float	67%
Market cap (USDm)	760,237	BBG	000660 KP
3m ADTV (USDm)	8,078	RIC	000660.KS

FINANCIALS AND RATIOS (KRW)

Year to	12/2025a	12/2026e	12/2027e	12/2028e
HSBC EPS	62330.20	333704.02	461160.91	493890.41
HSBC EPS (prev)	62330.20	324700.08	516787.06	551482.82
Change (%)	0.0	2.8	-10.8	-10.4
Consensus EPS	56031.11	317543.25	455640.09	473682.94
PE (x)	24.9	4.6	3.4	3.1
Dividend yield (%)	0.2	1.3	1.8	1.9
EV/EBITDA (x)	17.9	3.3	1.6	1.0
ROE (%)	44.2	98.1	63.6	41.9

52-WEEK PRICE (KRW)



Source: LSEG IBES, HSBC estimates

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Financials & valuation: SK Hynix

Buy

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (KRWb)				
Revenue	97,147	343,916	539,845	646,220
EBITDA	61,136	287,469	457,322	496,737
Depreciation & amortisation	-13,930	-23,631	-30,697	-39,993
Operating profit/EBIT	47,206	263,839	426,625	456,744
Net interest	-429	1,217	2,170	2,828
PBT	50,466	306,580	423,677	453,746
HSBC PBT	50,466	306,580	423,677	453,746
Taxation	-7,518	-76,645	-105,919	-113,436
Net profit	42,948	229,935	317,758	340,309
HSBC net profit	42,948	229,935	317,758	340,309
Cash flow summary (KRWb)				
Cash flow from operations	53,373	209,588	305,245	345,350
Capex	-27,374	-60,000	-80,000	-90,000
Cash flow from investment	-48,054	-61,964	-82,110	-92,267
Dividends	-1,519	-2,132	-14,577	-20,408
Change in net debt	-21,476	-144,062	-207,171	-231,295
FCF equity	25,999	149,588	225,245	255,350
Balance sheet summary (KRWb)				
Intangible fixed assets	4,049	4,283	4,565	4,895
Tangible fixed assets	77,503	114,586	164,649	215,473
Current assets	69,458	251,504	500,860	770,026
Cash & others	35,255	173,600	377,998	607,021
Total assets	176,108	396,938	698,200	1,020,181
Operating liabilities	33,193	32,089	32,945	37,297
Gross debt	22,248	16,530	13,757	11,484
Net debt	-13,007	-157,070	-364,241	-595,536
Shareholders' funds	120,516	348,168	651,348	971,249
Invested capital	82,562	164,684	259,131	346,076

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Y-o-y % change				
Revenue	46.8	254.0	57.0	19.7
EBITDA	69.6	370.2	59.1	8.6
Operating profit	101.2	458.9	61.7	7.1
PBT	111.3	507.5	38.2	7.1
HSBC EPS	116.9	435.4	38.2	7.1
Ratios (%)				
Revenue/IC (x)	1.3	2.8	2.5	2.1
ROIC	53.0	160.1	151.0	113.2
ROE	44.2	98.1	63.6	41.9
ROA	29.0	80.3	58.0	39.6
EBITDA margin	62.9	83.6	84.7	76.9
Operating profit margin	48.6	76.7	79.0	70.7
EBITDA/net interest (x)	142.4			
Net debt/equity	-10.8	-45.1	-55.9	-61.3
Net debt/EBITDA (x)	-0.2	-0.5	-0.8	-1.2
CF from operations/net debt				
Per share data (KRW)				
EPS Rep (diluted)	62330.20	333704.02	461160.91	493890.41
HSBC EPS (diluted)	62330.20	333704.02	461160.91	493890.41
DPS	3000.00	20000.00	28000.00	30000.00
Book value	169592.12	477685.11	893647.44	1332550.88

Valuation data

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	11.2	2.8	1.4	0.8
EV/EBITDA	17.9	3.3	1.6	1.0
EV/IC	13.2	5.8	2.9	1.5
PE*	24.9	4.6	3.4	3.1
PB	9.1	3.2	1.7	1.2
FCF yield (%)	2.4	13.5	20.4	23.1
Dividend yield (%)	0.2	1.3	1.8	1.9

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2024a	Governance Indicators	12/2026e
GHG emission intensity*	156.1	No. of board members	9
Energy intensity*	612.0	Average board tenure (years)	n/a
CO ₂ reduction policy	Yes	Female board members (%)	22.2
Social Indicators		Board members independence (%)	55.6
Employee costs as % of revenues	2.3		
Employee turnover (%)	1.3		
Diversity policy	Yes		

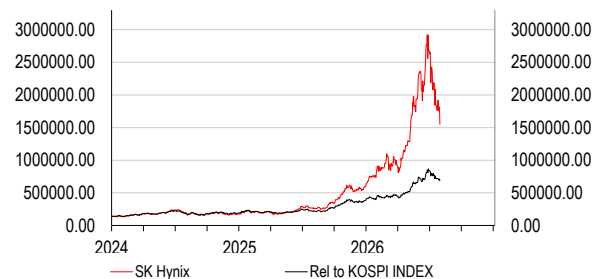
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (KRW)	1550000.00	Free float	67%
Target price (KRW)	3700000.00	Sector	Semiconductors
RIC (Equity)	000660.KS	Country/Region	Korea
Bloomberg (Equity)	000660 KP	Analyst	Ricky Seo
Market cap (USDm)	760,237	Contact	+82 2 3706 8777

Price relative



Source: HSBC

Note: Priced at close of 28 Jul 2026

Exhibit 1. 2Q26 earnings review

(KRWbn)	Actual	HSBCe	Cons	HSBCe Diff	Cons Diff	1Q26	q-o-q	2Q25	y-o-y	3Q26e	q-o-q
Sales	79,319	81,940	84,456	-3%	-6%	52,580	51%	22,233	257%	100,800	27%
OP	60,549	66,098	65,336	-8%	-7%	37,610	61%	9,209	557%	78,696	30%
OPM	76%	81%	77%	-4%pt	-1%pt	72%	5%pt	41%	36%pt	78%	4%pt

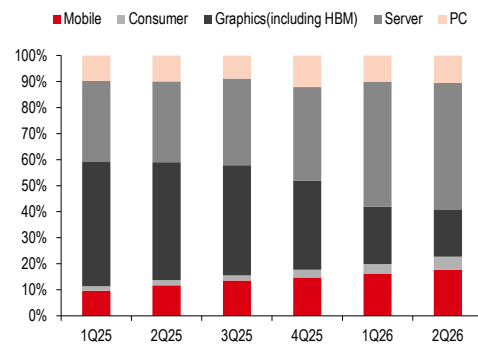
Source: Bloomberg consensus, Company data, HSBC estimates

Exhibit 2. Key assumption comparison: Previous HSBC estimates vs actual for Hynix

1Q26 results	Previous HSBC estimates	Actual Results
1. DRAM		
Bit growth (q-o-q)	8%	Up high single digit %
ASP (q-o-q)	40%	Up 30%
Margin	86%	
2. NAND		
Bit growth (q-o-q)	16%	Up mid teens%
ASP (q-o-q)	50%	Up mid 50% range
Margin	65%	
3. OP Margin	81%	76%
4. Key guidance	3Q26e, 2026e	2Q26e, 2026e
a. DRAM bit		
3Q26e q-o-q	7%	10% growth
2026e y-o-y	23%	Market: mid 20% growth
b. NAND bit		
3Q26e q-o-q	5%	Low single digit % growth
2026e y-o-y	25%	Market: High teens % growth
c. Capex		
2026e	KRW60trn (+119% y-o-y)	Expect around High KRW40trn range

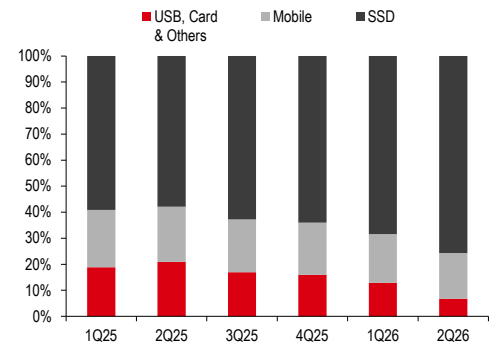
Source: Company data, HSBC estimates

Exhibit 3. DRAM sales by application; Server DRAM portion rising



Source: Company data

Exhibit 4. NAND sales by application; SSD portion rising rapidly



Source: Company data

Exhibit 5. HSBC estimates vs consensus

(KRWbn)	HSBCe			Consensus			Difference		
	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e
Sales	343,916	539,845	646,220	360,838	556,936	653,460	-5%	-3%	-1%
OP	263,839	426,625	456,744	281,807	451,388	517,313	-6%	-5%	-12%
OPM	77%	79%	71%	78%	81%	79%	-1%pt	-2%pt	-8%pt

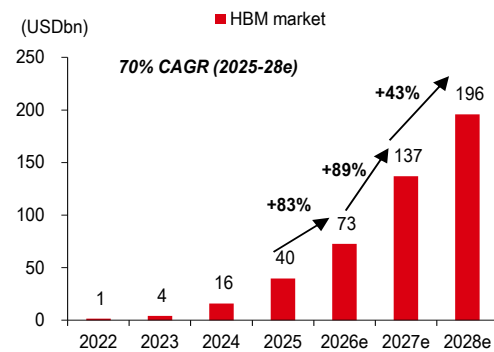
Source: Bloomberg consensus, HSBC estimates

Exhibit 6. Changes to our forecasts

(KRWbn)	New			Old			Change		
	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e
Revenue	343,916	539,845	646,220	356,981	556,240	658,144	-4%	-3%	-2%
DRAM	259,907	416,806	511,461	270,610	428,195	518,744	-4%	-3%	-1%
NAND	84,009	123,039	134,759	86,371	128,045	139,400	-3%	-4%	-3%
OP	263,839	426,625	456,744	284,409	452,375	480,183	-7%	-6%	-5%
DRAM	209,762	343,204	382,661	229,333	367,566	405,818	-9%	-7%	-6%
NAND	54,118	83,460	74,123	55,226	84,970	74,525	-2%	-2%	-1%
OPM	77%	79%	71%	80%	81%	73%	-3%pt	-2%pt	-2%pt
DRAM	81%	82%	75%	85%	86%	78%	-4%pt	-3%pt	-3%pt
NAND	64%	68%	55%	64%	66%	53%	0%pt	1%pt	2%pt

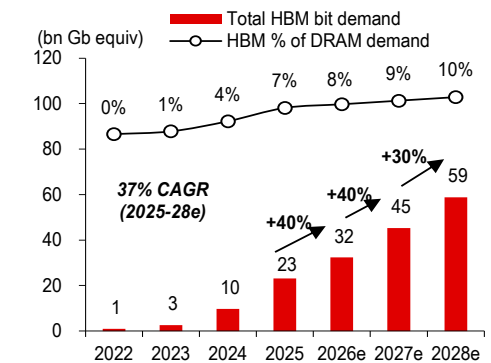
Source: HSBC estimates

Exhibit 7. We expect the HBM market to grow at a CAGR of 70% during 25-28e reaching USD196bn



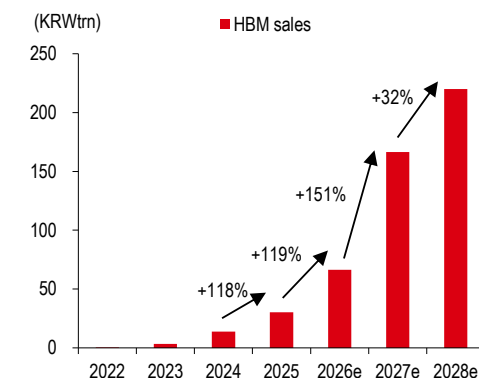
Source: WSTS, TrendForce, Company data, HSBC estimates

Exhibit 8. While total bit demand should also grow at a CAGR of 37% during the same period



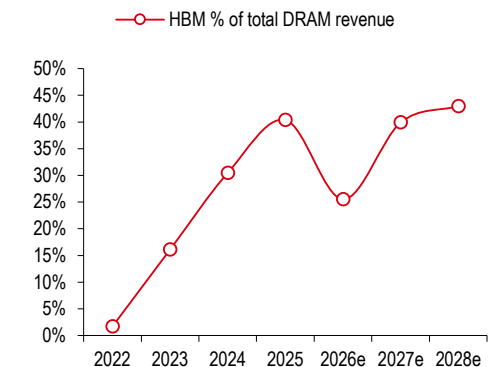
Source: WSTS, TrendForce, Company data, HSBC estimates

Exhibit 9. HBM sales should continue show strong growth amid higher pricing and premium HBM4



Source: Company data, HSBC estimates.

Exhibit 10. ...while the total portion of DRAM revenue at Hynix should start rising from 2027e again

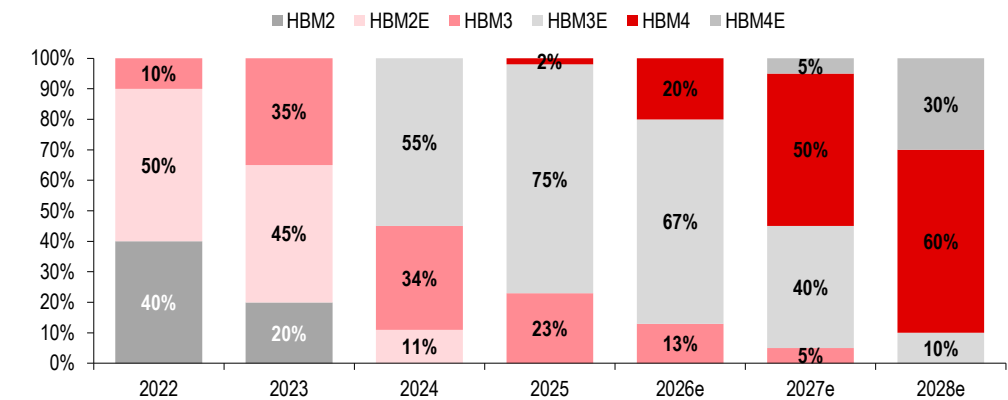


Source: Company data, HSBC estimates. Note: HBM sales portion calculated as a percentage of total DRAM sales.

Exhibit 11. Our HBM market estimates

HBM estimates	2023	2024	2025	2026e	2027e	2028e
HBM bit shipment (bn Gb)	3	10	23	32	45	59
y-o-y%		268%	139%	40%	40%	30%
% of total DRAM demand	1%	4%	7%	8%	9%	10%
HBM blended ASP (USD per Gb)	1.6	1.6	1.7	2.2	3.0	3.3
y-o-y%		5%	5%	30%	35%	10%
HBM market (USDbn)	4	16	40	73	137	196
y-o-y%		286%	151%	83%	89%	43%
% of DRAM market	8%	16%	26%	12%	14%	17%

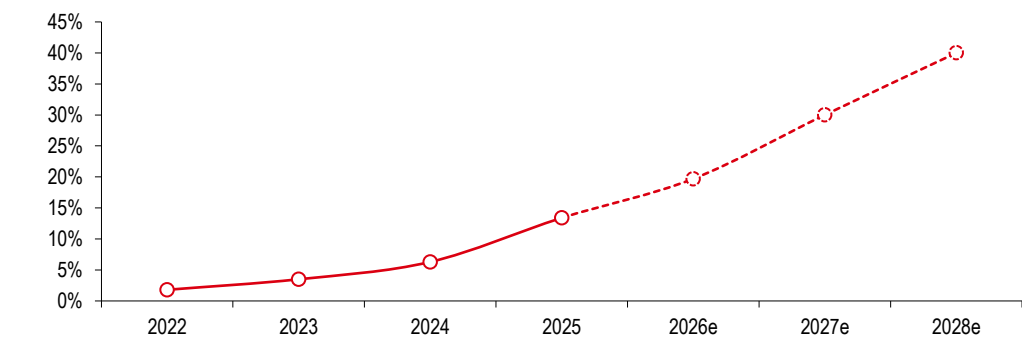
Source: WSTS, TrendForce, Company data, HSBC estimates

Exhibit 12. HBM shipment by generation, premium HBM4 portion to rise during 2026-28e


Source: TrendForce, Yole, HSBC estimates

Exhibit 13. Forecast penetration rate of ARM based CPUs in the total CPU market

Penetration rate of ARM CPUs in the overall CPU market



Source: TrendForce, HSBC estimates

Exhibit 14. SO-CAMM2 demand estimates from the Vera Rubin platform; 6-13% of total DRAM demand

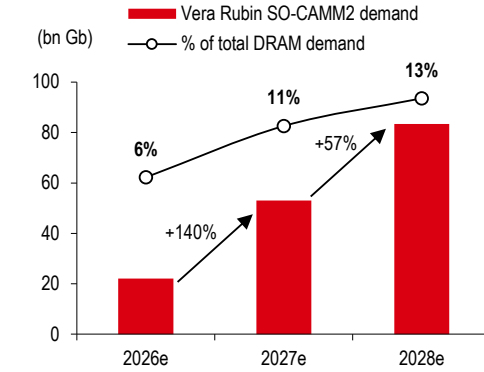


Exhibit 15. NAND demand estimates from the Vera Rubin platform; 4-14% of total NAND, opportunities from ICMS

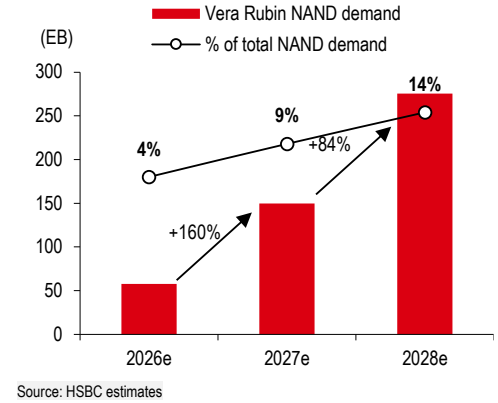


Exhibit 16. Server DRAM vs HBM blended ASP trend (calendar year base)

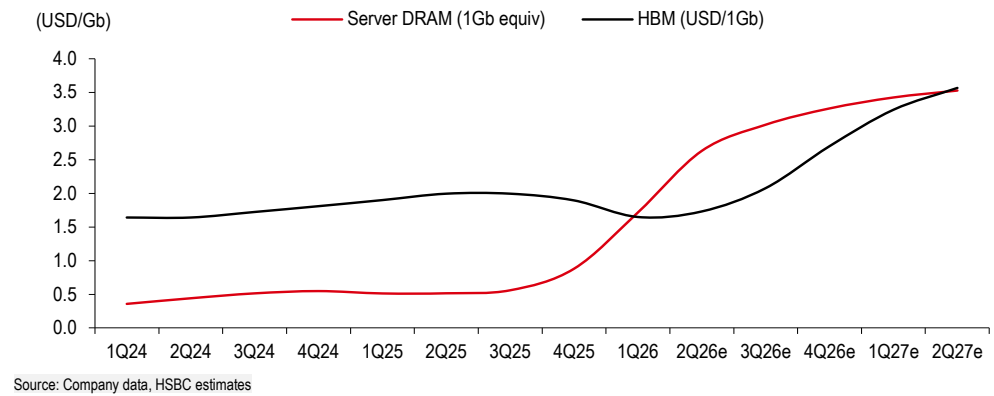


Exhibit 17. Server DRAM prices should continue rising amid strong demand for AI and general servers

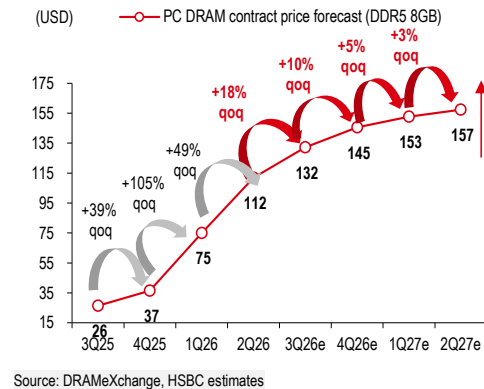


Exhibit 18. While NAND Flash wafer prices continue rising thanks to eSSD demand

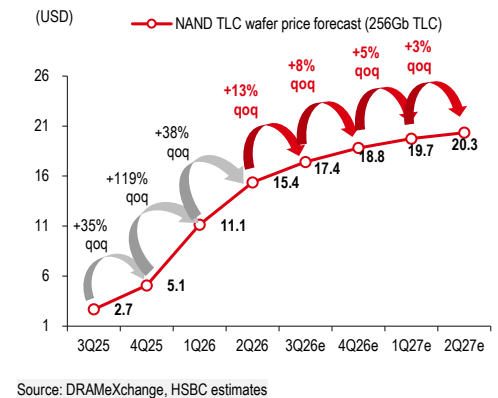
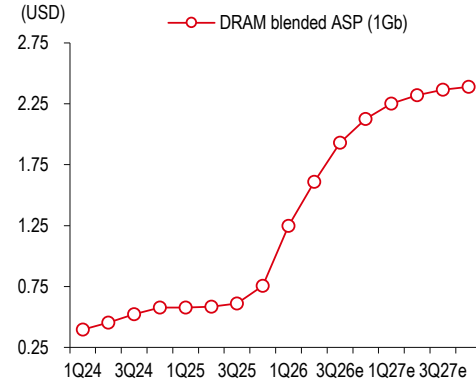
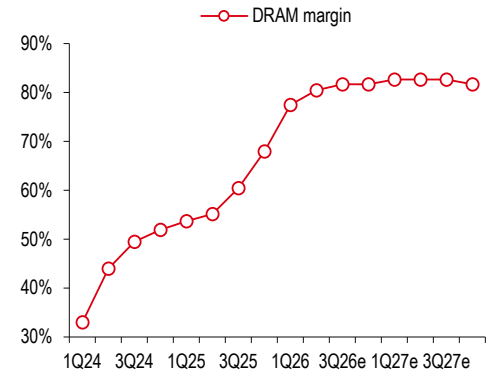


Exhibit 19. We continue to see strong DRAM pricing trend for Hynix during 2026e



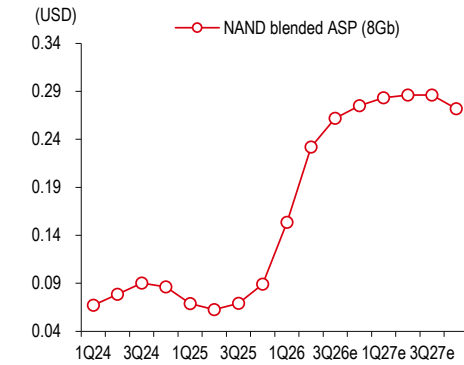
Source: Company data, HSBC estimates

Exhibit 20. Leading to strong margins to continue through 2026/27e



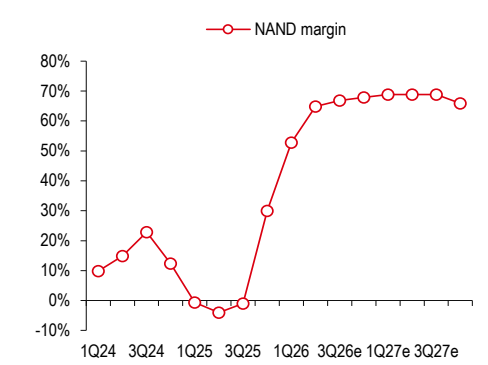
Source: Company data, HSBC estimates

Exhibit 21. Hynix's NAND price should continue to be strong in 2026e



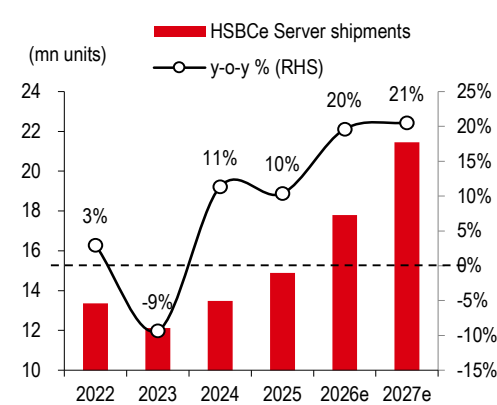
Source: Company data, HSBC estimates

Exhibit 22. ...leading to better margins in 2026e for Hynix



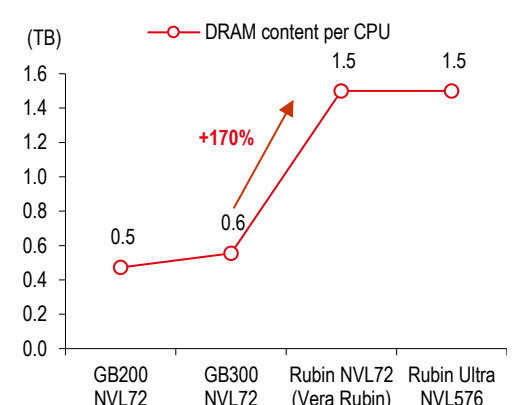
Source: Company data, HSBC estimates

Exhibit 23. We expect global server shipments to rise 20%/21% in 2026/27e



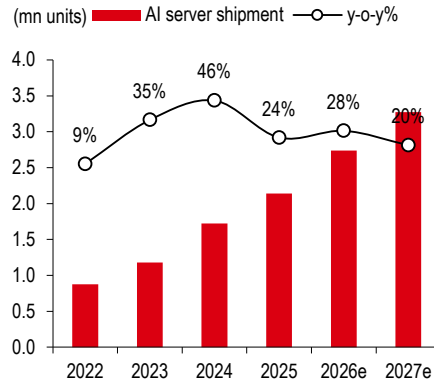
Source: TrendForce, HSBC estimates

Exhibit 24. Accelerating DRAM content growth in the latest Vera Rubin servers



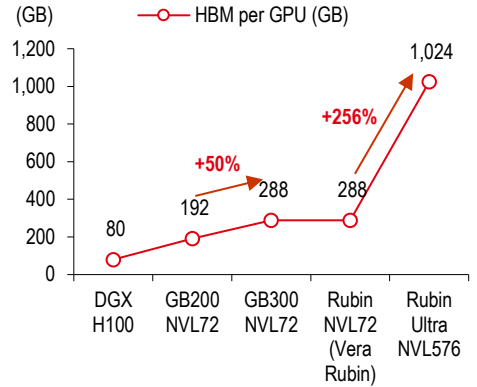
Source: Company data, HSBC estimates

Exhibit 25. AI server shipments to grow 28% y-o-y in 2026e



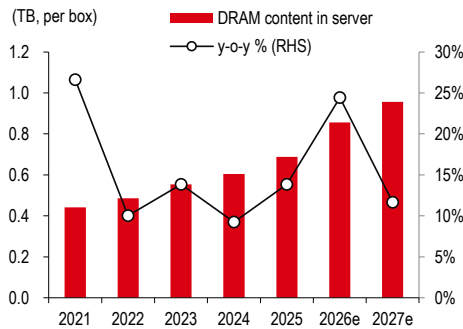
Source: TrendForce

Exhibit 26. HBM content to increase significantly in the Rubin Ultra



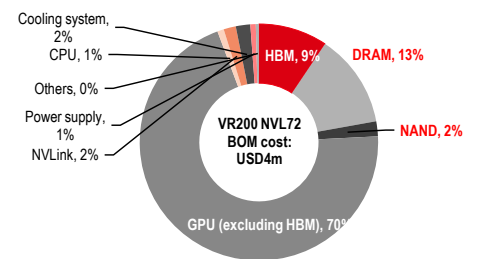
Source: Company data, HSBC estimates

Exhibit 27. Average server DRAM content per unit; strong growth of 24% in 2026



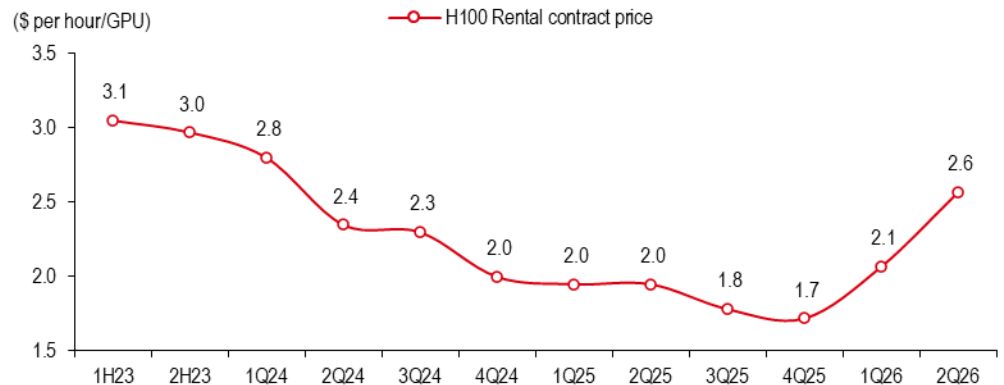
Source: DRAMeXchange, HSBC estimates

Exhibit 28. Bill of materials cost estimates for the VR200 NVL72 server system



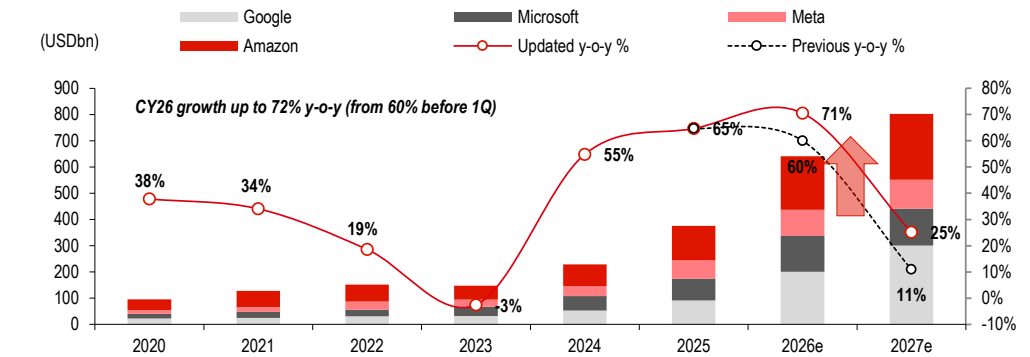
Source: HSBC estimates

Exhibit 29. One-year contract price trend of AI GPUs (H100) for AI service providers



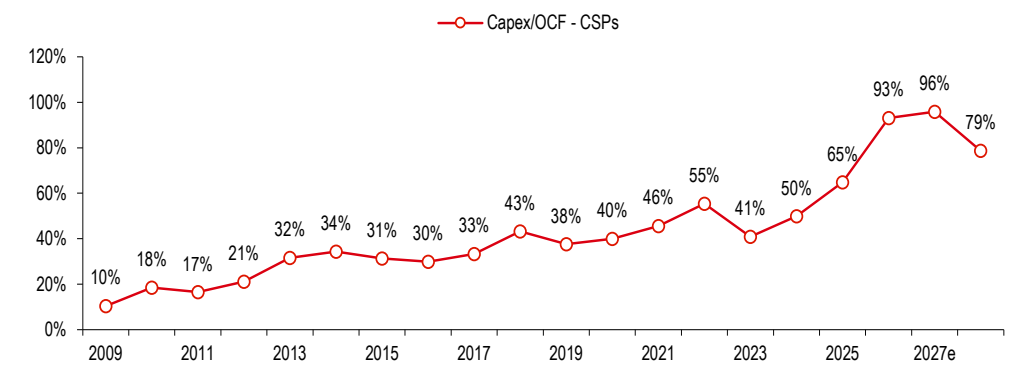
Source: Semianalysis, HSBC

Exhibit 30. US cloud service provider (CSP) capex; robust growth to continue at key US CSPs, up 71% in 2026e



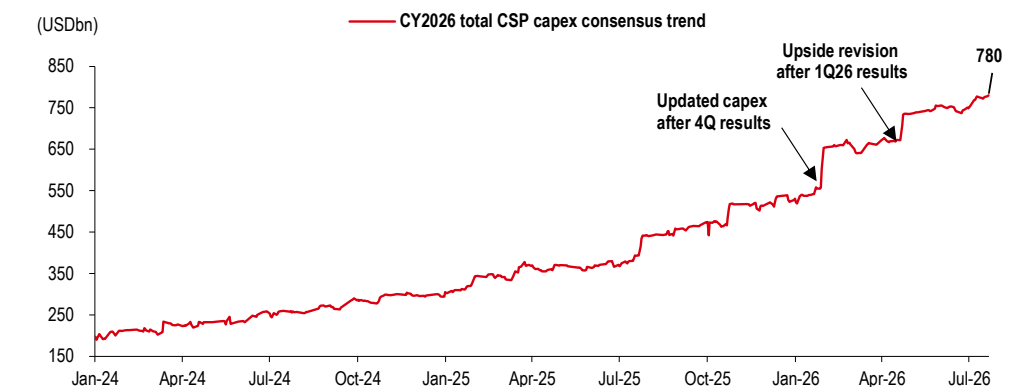
Source: Company data, Bloomberg consensus estimates

Exhibit 31. Capex portion of operating cash flow at the top 4 US CSPs



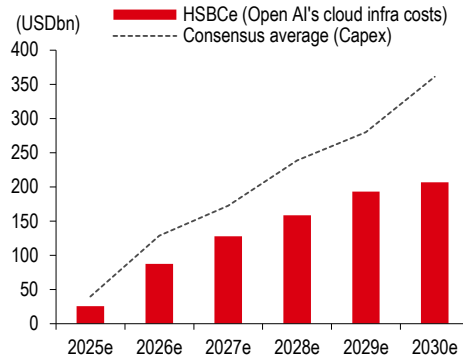
Source: Company data, Bloomberg consensus for Capex, Visible alpha consensus for operating cash flow estimates

Exhibit 32. Capex consensus of key global CSPs (US & Chinese) for 2026; continued upside revisions; expected at USD780bn (+91% y-o-y)



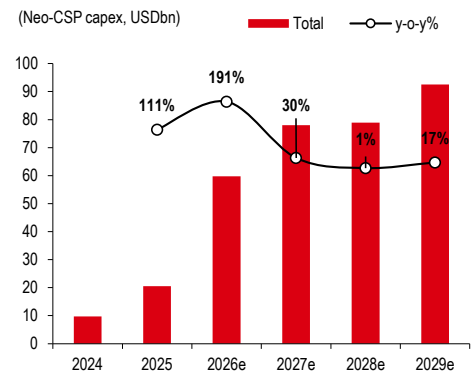
Source: Company data, Bloomberg, HSBC.

Exhibit 33. Open AI's cloud infra costs continue to grow



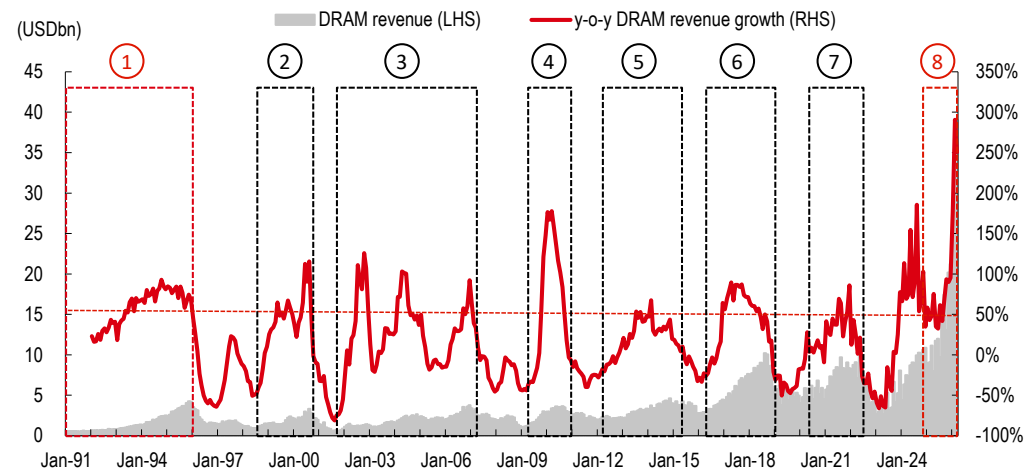
Source: HSBC estimates (see: [Global tech – Open AI: Commitments vs cash flows revisited](#), 24 Nov 2025, by Nicolas Cote-Colisson), Bloomberg consensus estimates

Exhibit 34. Capex estimates of key neo-CSPs; strong growth in 2026e



Source: Company data, Bloomberg consensus estimates

Exhibit 35. Historical upcycles of the DRAM market by key events



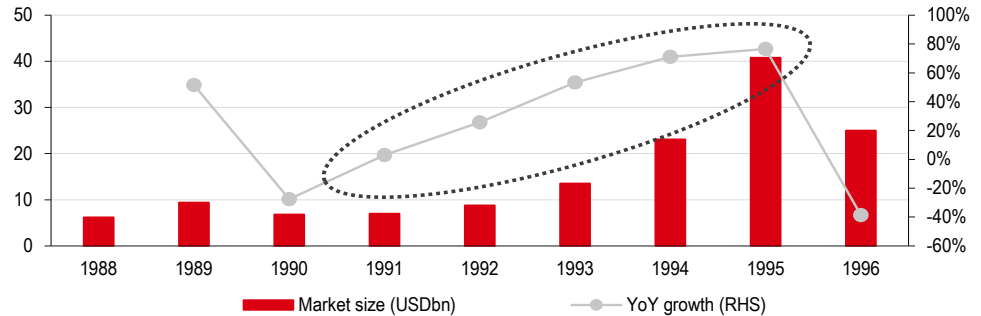
Source: WSTS, HSBC

Exhibit 36. Details of historical upcycles of the DRAM market, by key events

Upcycles	Details
(1) 1990-1995	Personal computer (PC) boom, widespread adoption of PC by households, leading to growth in DRAM demand
(2) 1998-2000	Strong replacement demand from the 'Y2K' crisis, leading to even stronger PC replacement investment
(3) 2002-2006	Demand for downloadable services spiked with the help of slim notebook demand from LCD, release of iPod, and development of legacy cell phones
(4) 2009-2010	Launch of the world's first smartphone, and start of a new era in mobile application demand
(5) 2012-2015	Prolonged upcycle due to sudden supply reduction from major fire incident in SK Hynix's China facilities
(6) 2016-2018	Widespread adoption of streaming services, leading to accelerated investment in cloud infrastructure and digital transition
(7) 2020-2022	Unprecedented demand boom from 'WFH' trend causing more demand for PC, Chromebooks, and Tablet computers amid the global pandemic
(8) 1H24-current	Gen AI application demand growth, core of AI is moving from training (GPU) to inferencing (memory)

Source: HSBC

Exhibit 37. DRAM super cycle (1990-95) as the introduction of Windows 3.0 boosted the DRAM market 6x to USD41bn in 1995 from USD7bn in 1990



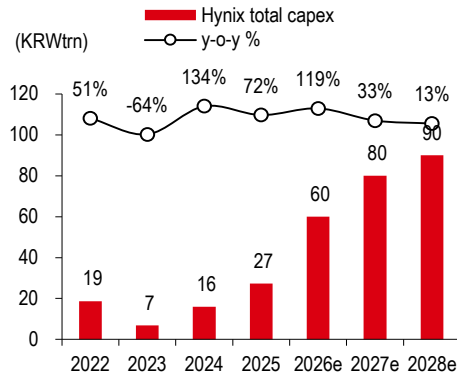
Source: WSTS, SIA, HSBC

Exhibit 38. Quarterly earnings and key assumptions

	1Q26	2Q26	3Q26e	4Q26e	1Q27e	2Q27e	3Q27e	4Q27e	2025	2026e	2027e	2028e
Sales (KRWbn)	52,580	79,321	100,800	111,215	117,307	126,390	140,744	155,405	97,150	343,916	539,845	646,220
Growth (%) q-o-q, y-o-y	60	51	27	10	5	8	11	10	47	254	57	20
DRAM	40,752	58,483	76,748	83,924	89,193	96,478	108,716	122,419	74,909	259,907	416,806	511,461
NAND Flash & others	11,828	20,838	24,053	27,290	28,114	29,912	32,028	32,985	22,241	84,009	123,039	134,759
Sales breakdown (%)	41	58	77	84	89	96	109	122				
DRAM	78	74	76	75	76	76	77	79	77	76	77	79
NAND Flash & others	22	26	24	25	24	24	23	21	23	24	23	21
OP (KRWbn)	37,610	60,541	78,696	86,992	92,984	100,243	111,813	121,585	47,202	263,839	426,625	456,744
Growth (%) q-o-q, y-o-y	96	61	30	11	7	8	12	9	101	459	62	7
DRAM	31,557	47,040	62,653	68,512	73,705	79,725	89,838	99,937	45,283	209,762	343,204	382,661
NAND Flash	6,083	13,503	16,048	18,485	19,290	20,528	21,985	21,658	1,998	54,118	83,460	74,123
OPM (%)	72	76	78	78	79	79	79	78	49	77	79	71
DRAM	77	80	82	82	83	83	83	82	60	81	82	75
NAND Flash	53	65	67	68	69	69	69	66	9	64	68	55
EBITDA	41,339	64,571	85,622	95,937	99,655	107,429	119,816	130,422	61,136	287,469	457,322	496,737
Depreciation & amortization	3,729	4,030	6,926	8,946	6,670	7,187	8,003	8,837	13,930	23,631	30,697	39,993
EBITDA margin (%)	79	81	85	86	85	85	85	84	63	84	85	77
Key assumptions												
DRAM shipment (m units, 1Gb)	23,008	24,802	27,413	28,224	28,298	30,148	33,307	37,133	83,105	103,447	128,887	163,096
Growth q-o-q, y-o-y	0	8	11	3	0	7	10	11	23	24	25	27
Blended DRAM ASP (USD, 1Gb)	1.2	1.6	1.9	2.1	2.3	2.3	2.4	2.4	0.6	1.8	2.3	2.3
Growth q-o-q, y-o-y	65	29	20	10	6	3	2	1	29	175	33	(3)
NAND shipment (m units, 8Gb)	52,876	61,278	63,189	70,736	70,627	75,495	80,852	87,660	200,023	248,080	314,634	412,582
Growth q-o-q, y-o-y	(11)	16	3	12	(0)	7	7	8	13	24	27	31
Blended NAND ASP (USD, 8Gb)	0.15	0.23	0.26	0.28	0.28	0.29	0.29	0.27	0.1	0.2	0.3	0.2
Growth q-o-q, y-o-y	73	51	13	5	3	1	0	(5)	(8)	222	20	(16)

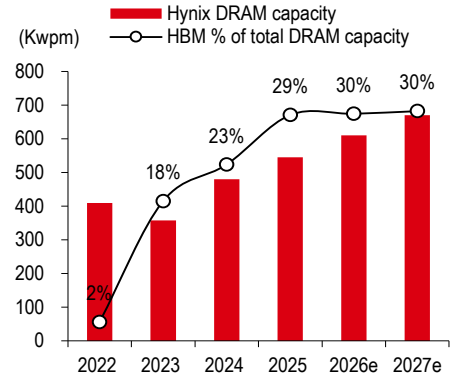
Note: TTB = Turn-to-black (Turn to profit). Source: Company data, HSBC estimates

Exhibit 39. We expect strong capex growth at Hynix, up 119% y-o-y in 2026e



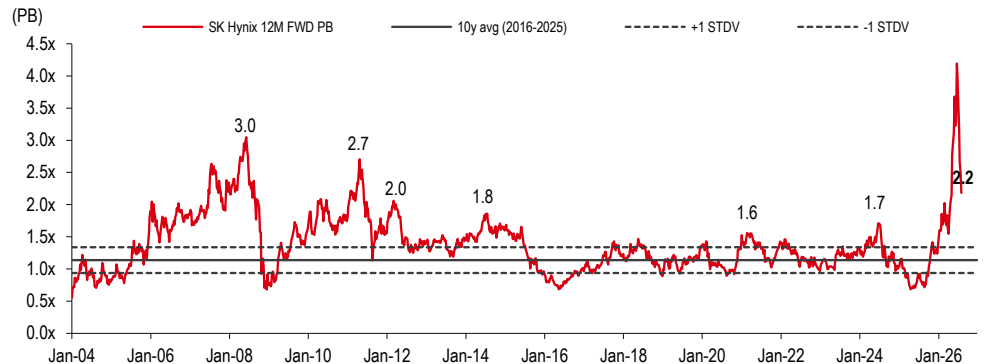
Source: Company data, HSBC estimates

Exhibit 40. Hynix plans to continue to expand its HBM capacity, reaching 200k by end-2027e



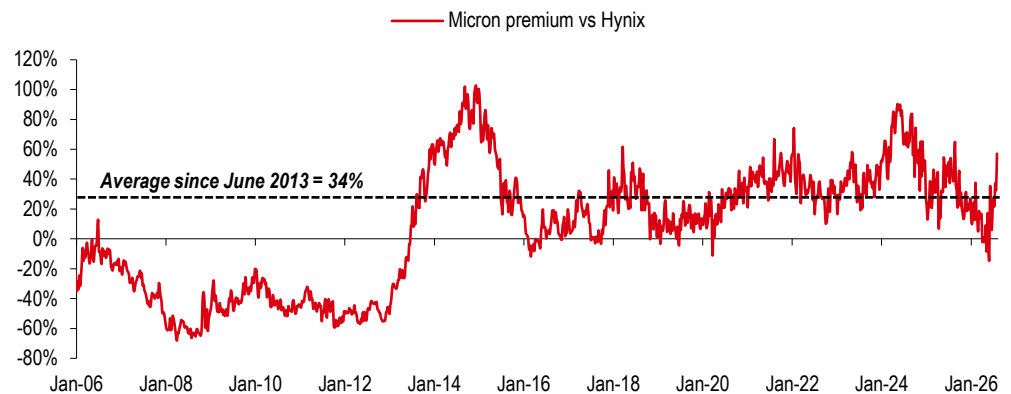
Source: Company data, HSBC estimates

Exhibit 41. SK Hynix: 12-month forward P/B



Source: Bloomberg, HSBC estimates

Exhibit 42. Hynix has been trading at a 34% discount vs Micron



Source: Bloomberg, HSBC estimates for 2026e forward PB.

Exhibit 43. Historical P/B multiple, DRAM OPM and ROE trend

PB(x)	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026e	2027e	Ref. avg (+20%)
High	2.8	2.5	2.1	2.8	2.2	2.0	2.1	1.7	1.4	1.9	1.4	1.4	1.6	1.7	1.5	1.9	2.3	3.8	-	-	3.4
Avg	1.9	1.7	1.7	1.9	1.8	1.6	1.6	1.3	1.0	1.3	1.1	1.1	1.2	1.4	1.1	1.4	1.7	1.8	-	-	2.3
Low	0.5	0.7	1.5	1.2	1.4	1.3	1.4	1.0	0.8	1.0	0.9	0.8	0.9	1.0	0.8	0.9	1.2	1.0	-	-	1.1
DRAM OPM	-34%	5%	31%	-4%	-1%	29%	40%	38%	27%	55%	62%	29%	28%	40%	33%	1%	46%	60%	81%	82%	
ROE	-93%	-6%	33%	-1%	-2%	25%	27%	22%	13%	37%	39%	4%	10%	17%	4%	-16%	31%	44%	98%	64%	

Note: Reference period: Historical high average during upcycle of 2009-12, with a 20% premium applied reflecting Hynix's leadership in HBM. The 2009-12 period is similar to today's supply disciplined and new technology such as the mass adoption of the smartphone being similar to the wide-spread adoption of AI in our daily lives. Source: Company data, HSBC estimates

Exhibit 44. Valuation comparison vs Global peers

Category	Ticker	CCY	Rating	TP	Price	Mkt cap (USDbn)	26e PE	27e PE	26e EPSG	27e EPSG	26e PB	27e PB	26e ROE	27e ROE
Memory														
SK Hynix	000660 KP	KRW	Buy	3,700,000	1,550,000	779	4.6	3.4	435%	38%	3.2	1.7	98%	64%
Samsung Elec	005930 KP	KRW	Buy	450,000	220,000	885	5.1	3.8	544%	37%	2.1	1.4	55%	51%
Micron	MU US	USD	Buy	1,700.00	820.53	927	11.1	5.0	870%	123%	6.9	3.0	89%	85%
CXMT Corp	688825 CH	CNY	NR		47.00	464	21.5	13.2	NA	63%	12.3	6.4	68%	53%
Sandisk	SNDK US	USD	NR		1,096.10	162	5.5	4.9	204%	12%	3.2	1.7	71%	41%
Kioxia Holdings	285A JP	JPY	NR		44,550	149	4.2	3.2	792%	33%	3.2	1.7	142%	79%
Nanya Tech	2408 TT	TWD	NR		393	42	5.6	3.6	2851%	55%	3.0	1.7	71%	59%
Average							8.3	5.3	941%	55%	4.9	2.5	84%	62%
Foundry														
TSMC	2330 TT	TWD	Buy	3,400	2,280	1,826	21.2	17	63%	28%	7.6	5.5	43%	39%
Intel	INTC US	USD	Buy	200.00	86.30	435	58.7	34.5	245%	70%	3.5	3.1	6%	10%
SMIC	981 HK	HKD	Buy	93.00	69.10	87	60.7	35.9	67%	69%	3.1	2.8	5%	8%
UMC	2303 TT	TWD	Buy	235.00	113.50	44	22.9	12.2	48%	88%	4.6	2.9	18%	29%
Global foundries	GFS US	USD	Hold	92.00	49.02	27	24.9	18.9	13%	32%	2.3	2.2	10%	12%
Average							37.7	23.6	87%	57%	4.2	3.3	16%	19%
Other semi														
ST Micro	STMPA FP	EUR	Buy	81.00	44.48	46	35.5	18.0	171%	97%	2.6	2.3	7%	14%
Infineon	IFX GY	EUR	Buy	108.00	57.77	86	32.6	19.9	27%	64%	4.1	3.6	13%	19%
Texas instruments	TXN US	USD	NR		277.07	253	32.9	27.1	43%	21%	13.1	11.1	42%	44%
Average							33.7	21.7	80%	61%	6.6	5.7	21%	26%
Semi equipment														
ASML Holdings	ASML NA	EUR	Buy	2,149.00	1,388.40	614	34.6	24.1	63%	43%	19.6	15.5	66%	71%
LAM research	LRCX US	USD	Hold	333.00	269.61	337	29.8	21.8	56%	37%	19.4	13.6	77%	73%
Applied materials	AMAT US	USD	Buy	683.00	476.46	378	36.8	24.0	38%	53%	13.7	10.3	43%	49%
ASM International	ASM NA	EUR	Buy	1,079.00	756.00	42	31.9	24.7	63%	29%	7.5	6.3	26%	28%
BE Semiconductor	BESI NA	EUR	Hold	240.00	197.80	18	40.9	28.6	192%	43%	22.8	18.4	69%	71%
Average							34.8	24.7	82%	41%	16.6	12.8	56%	58%
Fabless														
NVIDIA	NVDA US	USD	Buy	325.00	197.01	4,768	22.6	15.1	82%	50%	14.1	7.8	86%	67%
Broadcom	AVGO US	USD	Buy	600.00	380.91	1,812	31.4	17.8	78%	77%	14.0	7.9	57%	59%
AMD	AMD US	USD	Hold	380.00	454.62	741	67.2	39.5	62%	70%	10.6	8.9	17%	25%
Qualcomm	QCOM US	USD	Hold	180.00	162.88	172	15.2	15.2	-11%	0%	8.4	11.6	55%	65%
Mediatek	2454 TT	TWD	Hold	4,250.00	3,315.00	164	47.1	23.0	6%	105%	10.1	7.0	25%	36%
Marvell	MRVL US	USD	Buy	300.00	174.47	153	61.5	42.7	80%	44%	10.6	9.2	18%	24%
Average							40.8	25.5	50%	57%	11.3	8.7	43%	46%
Tech platforms														
Meta	META US	USD	Buy	905.00	593.41	1,507	19.0	17.7	33%	7%	5.1	4.0	31%	26%
Alphabet	GOOGL US	USD	Buy	420.00	333.71	4,012	16.2	22.3	91%	-27%	5.2	4.1	42%	21%
Microsoft	MSFT US	USD	Buy	567.00	393.35	2,922	23.2	19.1	22%	22%	6.7	5.3	32%	31%
Apple	AAPL US	USD	Buy	366.00	340.08	4,995	38.3	33.2	19%	16%	41.3	30.1	134%	105%
Average							24.2	23.1	41%	4%	14.6	10.9	60%	45%

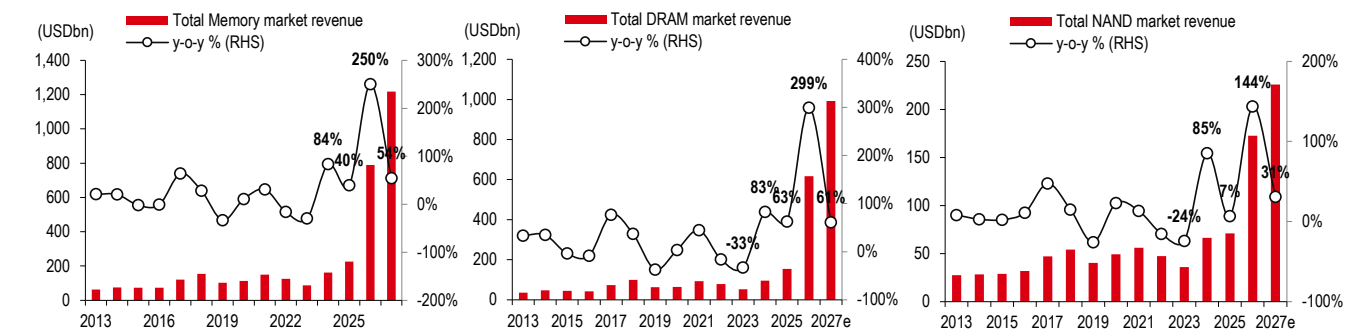
Source: Bloomberg consensus, HSBC estimates for covered names. Priced as of 28 July 2026.

Exhibit 45. Historical trend and estimates of memory market revenue

(USDbn)	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026e	2027e
DRAM market	35	47	45	41	73	99	62	64	93	78	52	95	154	616	992
y-o-y %	33%	35%	-4%	-8%	77%	37%	-37%	3%	45%	-16%	-33%	83%	63%	299%	61%
NAND market	27	28	29	32	47	54	40	49	56	47	36	66	71	173	226
y-o-y %	8%	3%	2%	11%	47%	15%	-26%	23%	13%	-16%	-24%	85%	7%	144%	31%
Memory market	62	75	74	73	120	154	103	114	149	125	88	161	225	789	1,218
y-o-y %	21%	21%	-2%	-1%	64%	28%	-33%	11%	31%	-16%	-30%	84%	40%	250%	54%

Source: WSTS, HSBC estimates

Exhibit 46. Historical trend and estimates of memory market revenue



Source: WSTS, HSBC estimates

Valuation and risks

	Valuation	Risks to our view
SK Hynix 000660 KP Buy	Current price: KRW1,550,000 Target price: KRW3,700,000 Up/downside: +138.7% Maintain Buy with a new TP of KRW3.7m (from KRW4.0m): Factoring in slower 2Q results and lower than previously expected blended ASP, we cut 2026/27/28e OP by 7%/6%/5%, while our 2026e EPS slightly rises by 3%, reflecting non operating gains related to the sales of the company's stake in Kioxia (285A JP, JPY44,550, Not rated). We our TP to KRW3.7m, as we maintain our target PB multiple of 3.4x which has a 20% premium to the historical high of 2.8x during 2009-11, and apply this to our updated 2027/28e BVPS of KRW1,113,099 (from KRW1,184,397) to derive our lower TP. Our TP implies an upside of 139% and we maintain our Buy rating. We introduce a fair value target price of USD240 for the ADR listed on the NASDAQ (SKHY US, USD130.17) based on our local share price target price using a USD/KRW exchange rate on our local share target price using a USD/KRW exchange rate of 1,543 and a ADR to Korea listed share conversion ratio of 10 to 1. We calculate a fair value target price of EUR2,181 (from EUR2,319) for the GDR listed on the Frankfurt stock exchange (HY9H GR, EUR904) based on our local share target price using a EUR/KRW exchange rate of 1,697 and a GDR to Korea listed share conversion ratio of 1-to-1. We calculate a fair value target price of USD2,399 (from USD2,597) for the GDR listed on the Luxembourg stock exchange (HYXS LX, USD1,050) based on our local share target price using a USD/KRW exchange rate of 1,543 and a GDR to Korea listed share conversion ratio of 1-to-1.	Downside risks: 1) Higher US interest rates as neo-CSPs and Open AI implement investment through financing; 2) more aggressive capacity expansion at memory makers, 3) KRW appreciation, leading to weaker earnings and margin pressure.

Disclosure appendix

Analyst Certification

The following analyst(s), economist(s), or strategist(s) who is(are) primarily responsible for this report, including any analyst(s) whose name(s) appear(s) as author of an individual section or sections of the report and any analyst(s) named as the covering analyst(s) of a subsidiary company in a sum-of-the-parts valuation certifies(y) that the opinion(s) on the subject security(ies) or issuer(s), any views or forecasts expressed in the section(s) of which such individual(s) is(are) named as author(s), and any other views or forecasts expressed herein, including any views expressed on the back page of the research report, accurately reflect their personal view(s) and that no part of their compensation was, is or will be directly or indirectly related to the specific recommendation(s) or views contained in this research report: Ricky Seo and Han Kil Chang

Important disclosures

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HSBC assigns ratings on the following basis:

The target price is based on the analyst's assessment of the stock's actual current value, although we expect it to take six to 12 months for the market price to reflect this. When the target price is more than 20% above the current share price, the stock will be classified as a Buy; when it is between 5% and 20% above the current share price, the stock may be classified as a Buy or a Hold; when it is between 5% below and 5% above the current share price, the stock will be classified as a Hold; when it is between 5% and 20% below the current share price, the stock may be classified as a Hold or a Reduce; and when it is more than 20% below the current share price, the stock will be classified as a Reduce.

Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

Upside/Downside is the percentage difference between the target price and the share price.

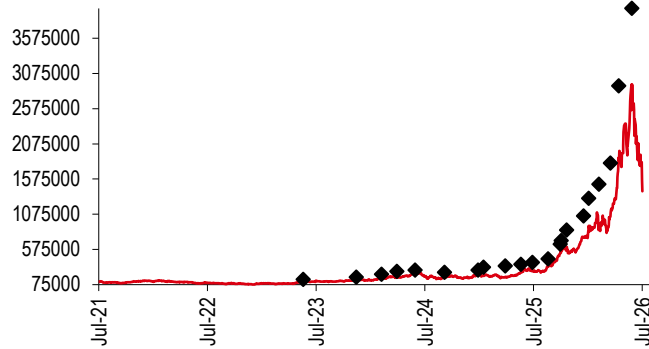
Rating distribution for long-term investment opportunities

As of 30 June 2026, the distribution of all independent ratings published by HSBC is as follows:

Buy	61%	(13% of these provided with Investment Banking Services in the past 12 months)
Hold	34%	(10% of these provided with Investment Banking Services in the past 12 months)
Sell	5%	(8% of these provided with Investment Banking Services in the past 12 months)

For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see "Stock ratings and basis for financial analysis" above.

For the distribution of non-independent ratings published by HSBC, please see the disclosure page available at <http://www.hsbcnet.com/gbm/financial-regulation/investment-recommendations-disclosures>.

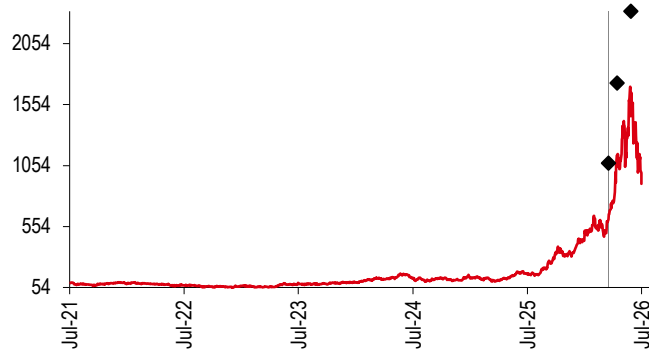
Share price and rating changes for long-term investment opportunities
**SK Hynix (000660.KS) share price performance KRW Vs
HSBC rating history**


Source: HSBC

Rating & target price history

From	To	Date	Analyst
Hold	Buy	26 Nov 2020	Ricky Seo
Target price	Value	Date	Analyst
Price 1	150000	15 Jun 2023	Ricky Seo
Price 2	180000	11 Dec 2023	Ricky Seo
Price 3	220000	04 Mar 2024	Ricky Seo
Price 4	260000	25 Apr 2024	Ricky Seo
Price 5	280000	25 Jun 2024	Ricky Seo
Price 6	250000	02 Oct 2024	Ricky Seo
Price 7	280000	23 Jan 2025	Ricky Seo
Price 8	320000	10 Feb 2025	Ricky Seo
Price 9	340000	24 Apr 2025	Ricky Seo
Price 10	360000	16 Jun 2025	Ricky Seo
Price 11	390000	24 Jul 2025	Ricky Seo
Price 12	440000	15 Sep 2025	Ricky Seo
Price 13	650000	26 Oct 2025	Ricky Seo
Price 14	700000	29 Oct 2025	Ricky Seo
Price 15	850000	16 Nov 2025	Ricky Seo
Price 16	1050000	12 Jan 2026	Ricky Seo
Price 17	1300000	29 Jan 2026	Ricky Seo
Price 18	1500000	05 Mar 2026	Ricky Seo
Price 19	1800000	13 Apr 2026	Ricky Seo
Price 20	2900000	11 May 2026	Ricky Seo
Price 21	4000000	24 Jun 2026	Ricky Seo

Source: HSBC

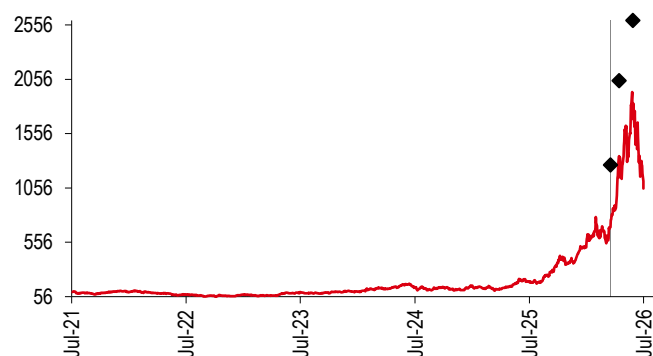
**SK Hynix (HY9Hy.F) share price performance EUR Vs
HSBC rating history**


Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	13 Apr 2026	Ricky Seo
Target price	Value	Date	Analyst
Price 1	1074	13 Apr 2026	Ricky Seo
Price 2	1731	11 May 2026	Ricky Seo
Price 3	2319	24 Jun 2026	Ricky Seo

Source: HSBC

SK Hynix (HYNIX.LU) share price performance USD Vs HSBC rating history

Rating & target price history

From	To	Date	Analyst
N/A	Buy	13 Apr 2026	Ricky Seo
Target price	Value	Date	Analyst
Price 1	1268	13 Apr 2026	Ricky Seo
Price 2	2042	11 May 2026	Ricky Seo
Price 3	2597	24 Jun 2026	Ricky Seo

Source: HSBC

To view a list of all the independent fundamental ratings/recommendations disseminated by HSBC during the preceding 12-month period, and the location where we publish our quarterly distribution of non-fundamental recommendations (applicable to Fixed Income and Currencies research only), please use the following links to access the disclosure page:

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HSBC & Analyst disclosures
Disclosure checklist

Company	Ticker	Recent price	Price date	Disclosure
SK HYNIX	000660.KS	1401000.00	29 Jul 2026	1, 5, 7

Source: HSBC

- HSBC has managed or co-managed a public offering of securities for this company within the past 12 months.
- HSBC expects to receive or intends to seek compensation for investment banking services from this company in the next 3 months.
- At the time of publication of this report, HSBC Securities (USA) Inc. is a Market Maker in securities issued by this company.
- As of 30 June 2026, HSBC beneficially owned 1% or more of a class of common equity securities of this company.
- This company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of investment banking services.
- This company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of non-investment banking securities-related services.
- This company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of non-securities services.
- A covering analyst/s has received compensation from this company in the past 12 months.
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- A covering analyst/s or a member of his/her household is an officer, director or supervisory board member of this company, as detailed below.
- At the time of publication of this report, HSBC is a non-US Market Maker in securities issued by this company and/or in securities in respect of this company.
- As of 22 July 2026, HSBC beneficially held a net long position of more than 0.5% of this company's total issued share capital, calculated according to the SSR methodology.
- As of 22 July 2026, HSBC beneficially held a net short position of more than 0.5% of this company's total issued share capital, calculated according to the SSR methodology.

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